

Kingdom of Saudi Arabia · Makkah Region

Real Estate Market Report Makkah

Strategic analysis and market dynamics for 2026

An institutional reading of offices, housing, retail, Hajj and Umrah services and hospitality in the Holy City, with regulation, deals and opportunity maps.

[Offices](#)[Housing](#)[Retail](#)[Hajj & Umrah](#)[Hotels](#)[Regulation](#)[Deals](#)[Maps](#)

Nine chapters covering the Makkah real estate market

From macro indicators to executable opportunities, in the order an investor reads the market.

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How this report was built and what sets it apart

Data sources

Real Estate Registry and Ministry of Justice (transactions), GASTAT, the Real Estate General Authority (REGA), Holy Makkah Municipality and the Royal Commission for Makkah City and Holy Sites, the Ministries of Hajj and Umrah and Tourism, announcements by Umm Al-Qura Development, NHC and developers, with JLL, Knight Frank and CBRE reports as comparators.

Analytical approach

2026 values are estimated from transaction data and field surveys to mid-year and compared year on year; each sector is then linked to its drivers (Hajj and Umrah seasons, giga-projects around the Holy Mosque, Haramain Rail and the airport, new legislation) to derive actionable recommendations for developers and investors.

What sets a Takamol report apart

Analysis at zone, corridor and district level, not just the city; real geographic maps of Makkah's four districts around the Holy Mosque; and figures linked to automated feasibility studies in Real Invest and curated opportunities in Real Forsa — a decision tool, not just a market read.

Scope: Makkah city and its four zones (Central Area, East and South-East, South and West, Outer Suburbs) with references to Makkah Region · Reference period: January – August 2026.

Units and comparison: Values in Saudi riyals (SAR) unless stated otherwise · Annual rates compared with the same period of 2025 (YoY) · Estimates are marked "around" or "circa".

01

Executive Summary and Key Performance Indicators

Demographics and purchasing power · Pilgrim Experience Programme
and capital flows · Giga-project map · International milestones ·
Construction costs · Return-risk matrix



Macro indicators: Makkah, the Kingdom's religious, tourism and hospitality centre of gravity

8.02M

Population of Makkah Region · 2.43 million in the city

30M

Umrah pilgrims targeted by 2030 — Saudi Vision

1.673M

Hajj pilgrims in the 2025 season

56.4%

Overall hotel occupancy · 59.8% in Q1 2026

The Kingdom's principal hub for religious tourism

Makkah is the Kingdom's principal religious tourism hub, anchored by Masjid al-Haram and the Holy Sites and served by an integrated access system: King Abdulaziz International Airport in Jeddah, the Haramain High-Speed Rail and the regional road network.

The large, continuous flow of Hajj and Umrah pilgrims generates strong demand for hotels, serviced apartments, F&B, retail, transport and support services, especially in the Central Area and the access corridors to the Holy Mosque. The Kingdom received 15.22 million Umrah pilgrims in Q1 2025 alone.

Hospitality leadership nationwide

Makkah had around 1,203 licensed tourism accommodation facilities at end-H1 2025, with circa 305.8k rooms, of which about 99% are hotel rooms — the largest hotel capacity of any Saudi city or governorate.

Average hotel occupancy in Makkah reached about 59.8% in Q1 2026, reinforcing its standing as a prime market for investment in hotels, serviced apartments, retail, F&B and mixed-use projects.

Implication: a market priced by distance from the Holy Mosque and by the rhythm of the seasons — proximity and operational readiness set the return, not floor area alone.

Demographics, purchasing power and income patterns

4.3%

Annual population growth in the Region

2.37M

Workers — a large, active economic base

8.02M

Population — a vast and growing base

15.22M

Umrah pilgrims in the Kingdom in Q1 2025 — renewable external demand

Target segments and their property behaviour

Young Saudi families: family housing and long-term stability, with a preference for well-served districts away from the congested Central Area; demand for modern apartments and integrated compounds with parking, services and family amenities.

Hajj and Umrah pilgrims and visitors: short and medium stays, highly sensitive to proximity to Masjid al-Haram and ease of access; strong demand for hotels, serviced apartments and furnished units, with rising appeal for assets on the access corridors to the Holy Mosque.

Professionals and expatriates: staff in hospitality, retail, transport, health, education and Hajj and Umrah services; demand for modern apartments on mid- and long-term leases in districts with good access to business areas.

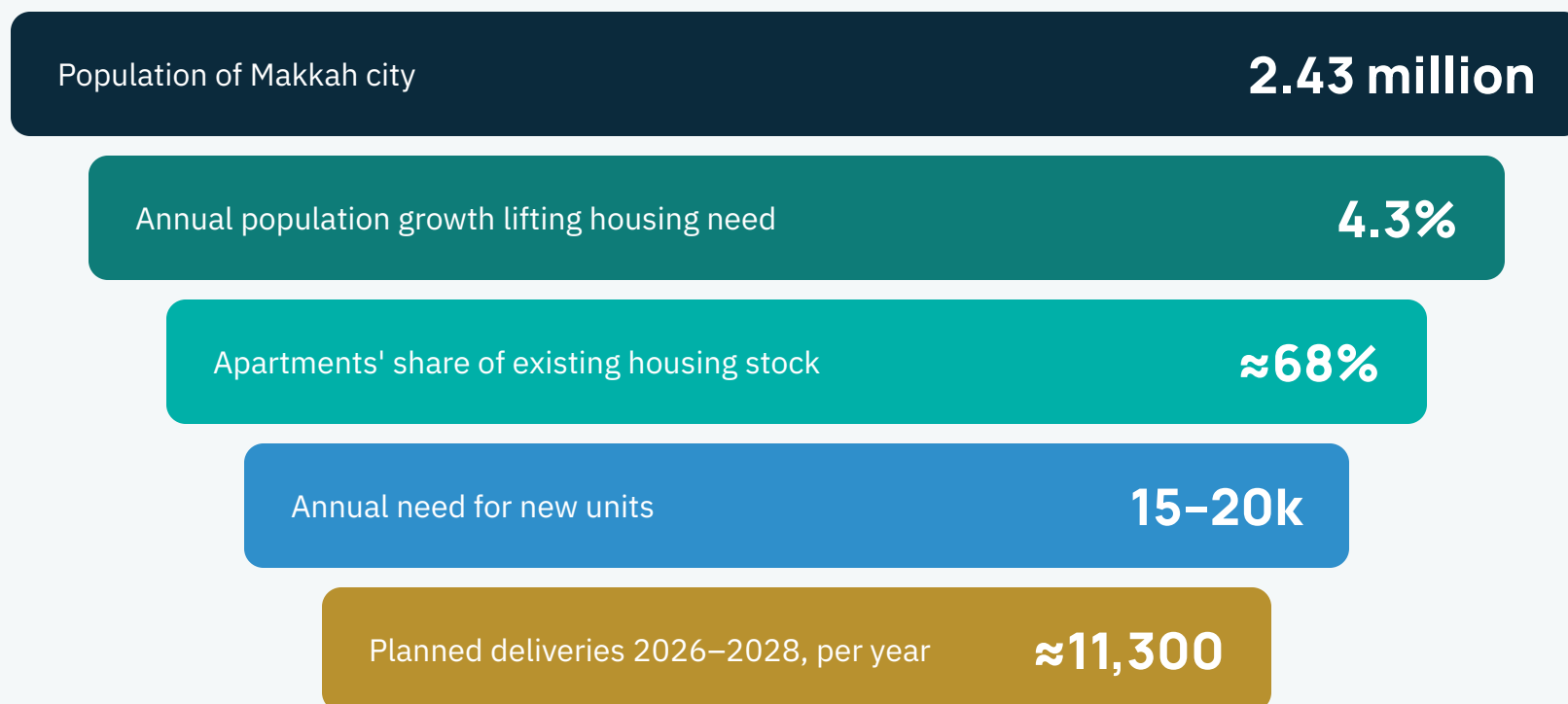
Takamol reading

Individual investors seek recurring income and exposure to visitor flows — through apartments, serviced units and income-producing assets in the zones around the Holy Mosque and along transport corridors.

Institutional investors and developers seek long-term opportunities in a market with sustained religious and tourism demand: hotels and mixed-use projects in the Central Area, transport corridors and giga-projects.

Product window: 140–180 sqm family apartments at SAR 450–750k, and flexible units lettable seasonally to visitors — the heart of demand in Makkah.

Demand funnel: from population mass to the housing unit required



Reading the funnel

A vast population base and high annual growth (4.3%) translate into structural demand for family ownership apartments and serviced compounds, compounded by demand from central-area regeneration schemes and the relocation of residents to the suburbs.

Supply planned for delivery in 2026–2028 is around 34,000 units (circa 11,300 a year) against an annual need of 15,000–20,000 units — which explains continued price and rent growth (apartment rents +6.2%).

Estimated annual gap: 3,700 – 8,700 units

Source: GASTAT, Real Estate Registry, developer announcements (Umm Al-Qura, NHC, private sector) and Takamol analysis. Annual need is an estimate.

Pilgrim Experience Programme, capital flows and foreign direct investment

305.8K

Rooms across 1,203 licensed accommodation facilities

+300K

Future jobs at Masar destination by 2036

SAR 4.3bn

Residential transaction value · count +11% · value -33%

3,650

SAR/sqm — average apartment price · -0.5% YoY

Tourism and hospitality

Makkah Region led all Saudi regions in tourism spending in 2025, with close to SAR 146.6bn. For comparison, the Region recorded about 44.1 million tourist trips in 2024 and received around 10.02 million overnight tourists in H1 2025, spending SAR 78.77bn.

The Region's appeal rests on its religious standing and Hajj and Umrah demand, alongside giga-projects in the Central Area — notably King Salman Gate, adjacent to Masjid al-Haram, with up to 12 million sqm of built-up area across residential, hospitality, commercial and cultural uses.

Foreign direct investment momentum

Makkah Region has seen a marked expansion in FDI: the FDI stock rose from around SAR 107.4bn in 2020 to circa SAR 164bn at end-2024, growth of about 53%.

New FDI inflows reached around SAR 12.7bn in 2024 against about SAR 5.5bn in 2020, reflecting the Region's broadening appeal across real estate, tourism and services.

New investment: more than 300k jobs by 2036 at Masar alone, underpinning long-term demand for real estate, hospitality, retail and services.

Giga-project map – Makkah 2026

1 Masjid al-Haram and the Central Area
Makkah's religious and economic heart · drives demand for hotels, hotel apartments, retail and support services around the Holy Mosque

2 Masar Destination
West of the Holy Mosque · 1.25 million sqm · 550 m from Masjid al-Haram · 5.7 million sqm GFA · 203 investment plots · +300k jobs by 2036

3 King Salman Gate
Adjacent to Masjid al-Haram · up to 12 million sqm of built-up area · residential, hospitality, commercial and cultural uses

4 Hospitality schemes by the Holy Mosque
Jabal Omar, hotel towers and mixed-use projects expanding visitor capacity and lifting the urban experience

5 Haramain Rail station – Al-Rusaifah
Strategic hub linking Makkah with Jeddah and Madinah · eases access and drives development along movement corridors

6 King Abdulaziz International Airport
Main air gateway to Makkah and the Two Holy Mosques · 53.4m passengers in 2025 · boosts pilgrim flows

Investment implication: two rings — the Holy Mosque perimeter (hospitality, luxury retail) and the western transport corridor (Masar – Haramain Rail – Jeddah Road), a new development zone at lower entry prices with a direct link to the Holy Mosque.



North: Al-Zahir West: Al-Rusaifah
East: Al-Aziziyah South: Al-Awali

Official district boundaries · project locations approximate · airport off-frame

International and investment milestones as market levers

Vision 2030 — Makkah targets

Access and transport: upgrading access to Makkah and links with King Abdulaziz International Airport and the main road corridors, and integrating Masjid al-Haram with Haramain Rail and the Makkah and Holy Sites buses.

Capacity: expanding pilgrim capacity and upgrading infrastructure and services to receive more Hajj and Umrah pilgrims, reaching 30 million Umrah pilgrims by 2030.

Hospitality, real estate and identity: expanding hotels, serviced apartments and mixed-use projects around the Holy Mosque, developing historic sites and enriching the spiritual and cultural experience.

FIFA World Cup 2034 — spiritual role and infrastructure

The foremost spiritual destination

Not an official host, yet Makkah will be the key destination for hundreds of thousands of Muslim fans and players attending the tournament

Proximity to Jeddah

Makkah's closeness to Jeddah (hosting major matches across 4 stadiums) makes Umrah a core part of the Muslim visitor's journey

Infrastructure integration

Haramain Rail, the King Abdulaziz Airport expansion and hospitality around the Holy Mosque are decisive in absorbing this exceptional flow

The investment window

Peak demand for hospitality, serviced apartments, retail and transport as fans combine the tournament with pilgrimage

53.4M

Passengers via King Abdulaziz International Airport in 2025 — air gateway to the Two Holy Mosques

580+ km

Makkah bus routes · 431 stops · 12 lines

15.23M

Umrah pilgrims in the Kingdom in Q1 2026 · 5.77 million from abroad

1.25M sqm

Masdar destination — regenerating Makkah's core, 550 m from the Holy Mosque

Makkah roadmap 2026–2036: the milestones that re-price the market

Each delivery milestone adds quality supply or opens a new wave of demand — its timing defines the investor's entry window.

2026

Masar commercial operations begin · Masar Mall launches (63k sqm GLA) · construction costs +2.3% · 15.23m Umrah pilgrims in Q1

2028

2026–2028 delivery wave completes: c.34,000 units · retail GLA reaches 575k sqm · new office supply at Masar

2030

Vision 2030 target: 30m Umrah pilgrims · Holy Mosque integrated with Haramain Rail and buses · peak hospitality demand

2027

Al-Huda Park opens (50k sqm GLA · 280 units) in Q1 · Makkah Gate and Thakher deliveries · serviced apartments grow on the Masar corridor

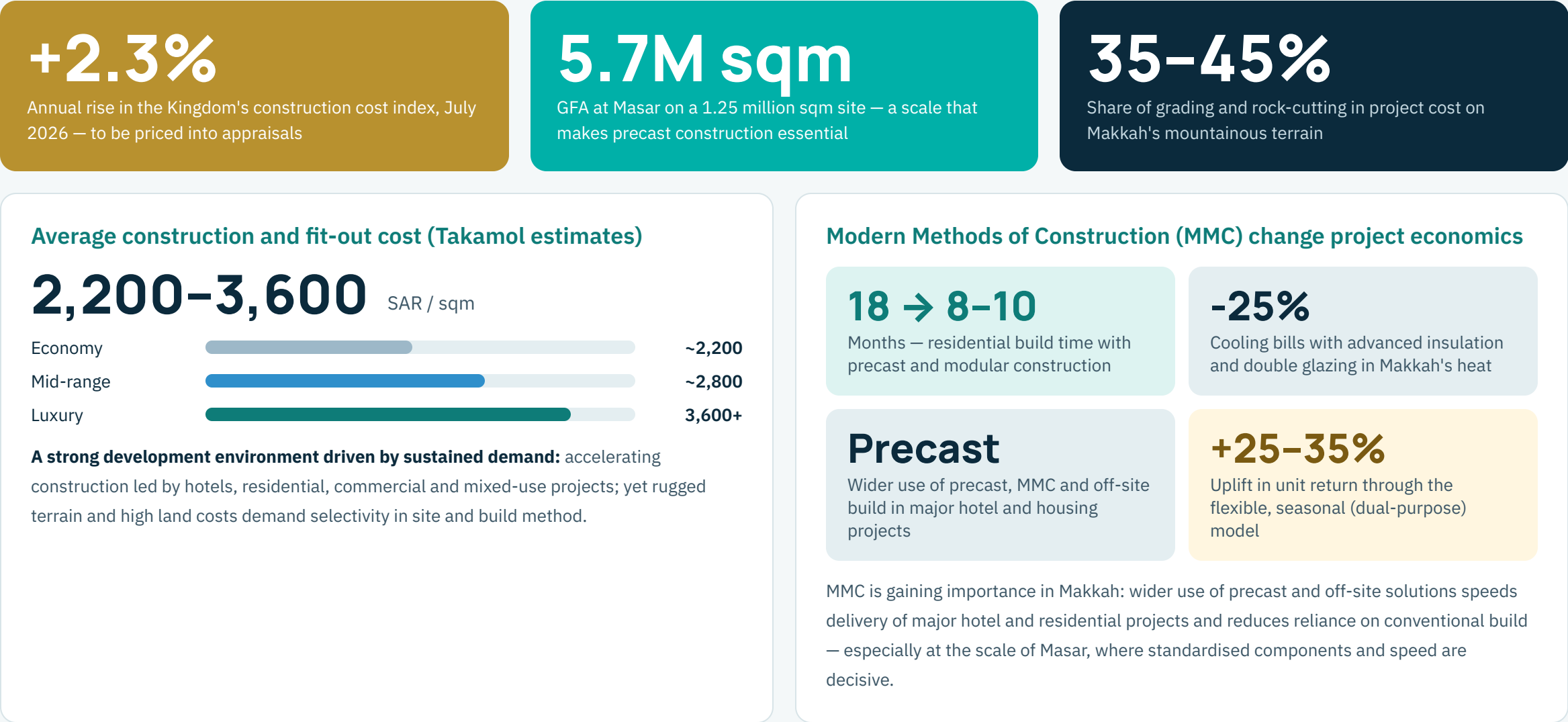
2028–2030

Residential planning phase: +69,000 units · Masar Mall complete (20m visitors a year) · more towers around the Holy Mosque

2034–2036

World Cup 2034: exceptional inflow via Jeddah · Masar completes with +300k jobs by 2036

Investment attractiveness, construction activity and build costs



Occupancy gauges: a market running near full capacity in peak seasons and prime centres



98–100%

Central Area hotels
(Ramadan and Hajj)



59.9%

Hotels (annual average)



98.1%

Makkah Mall H1 2025



86–87%

Retail (overall average)



68%

Apartments' share of
housing stock



74%

Hajj and Umrah share of
hotel demand

What the gauges mean

A hospitality market at full capacity in the Central Area during Ramadan and Hajj (98–100%) against an annual average of 59.9% — a seasonal gap of close to 40 points, the number-one operating challenge. In retail, the main centres are full (98–99%) while the overall average is 86–87%, a sharp divide between high-quality assets and the rest.

Where the opportunity lies

The gap between peak and average rewards flexible assets that can switch between hotel use and long-stay serviced living, and rewards extending the season through year-round (365-day) Umrah visas. In residential, the dominance of apartments (68%) with rents growing +6.2% opens a window for ownership and seasonal-letting buildings in the zones around the Holy Mosque.

Return versus risk matrix: where each sector stands in Makkah 2026

Serviced apartments (expected IRR) **17.0–19.5%**

4-star hotels (expected IRR) **15.5–17.8%**

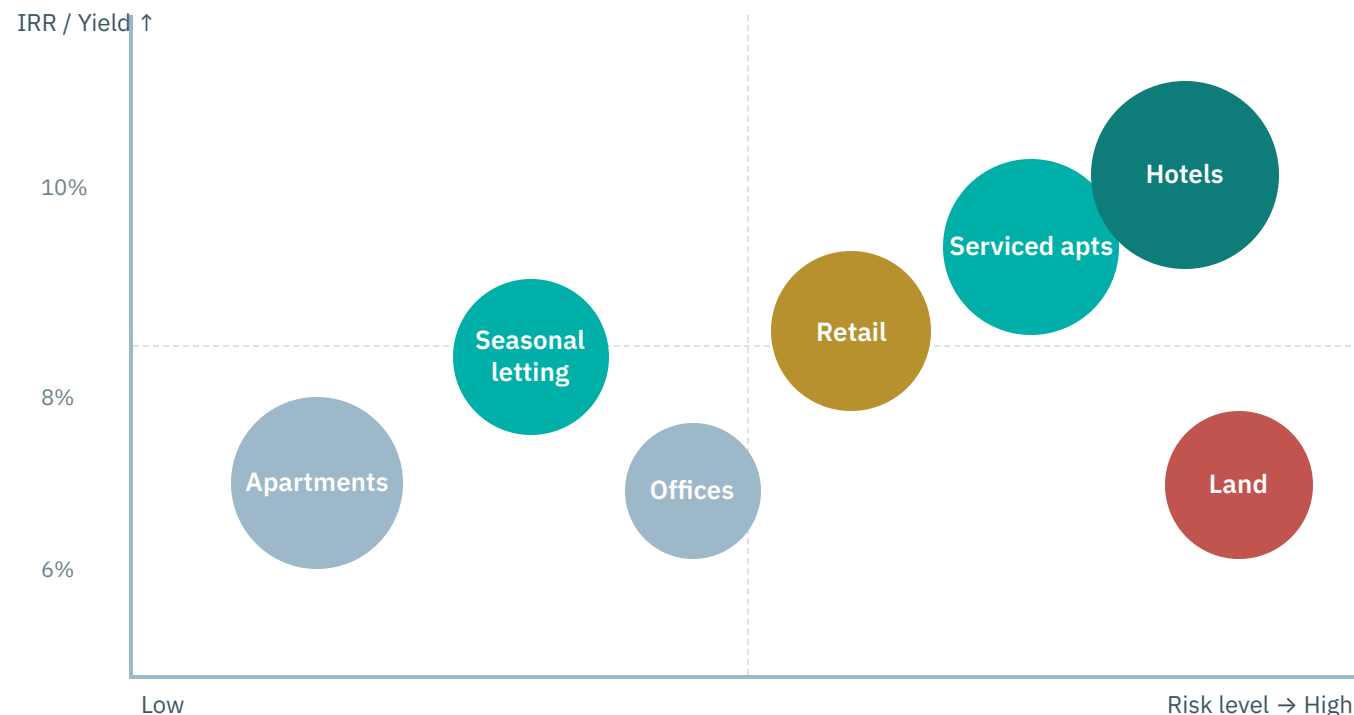
5-star hotels by the Holy Mosque (IRR) **14.0–16.5%**

Residential apartments — seasonal letting **8.5–10.5%**

Residential apartments — annual lease **6.4–7.4%**

Retail near the Holy Mosque **8.0–9.0%**

Raw suburban land **Capital gain / long cycle**



Bubble size reflects market depth (deal count and supply) · positioning is indicative, based on this report's indicators · usufruct-based serviced apartments near the Holy Mosque combine the highest IRR with the fastest payback (5.2–6.5 years).

02

Office and Commercial Workspace Sector

A niche, growing market · Supply and demand dynamics · Rent map by
corridor · Institutional demand segments · Transport connectivity ·
Opportunities and outlook



Office market dashboard: a niche, growing market moving towards modern, flexible space

500–900

SAR/sqm/year — indicative range for modern offices

≈5.7M sqm

Total development GFA at Masar destination

3–5

Years — average office lease term

203

Investment plots at Masar with office components

Occupancy by grade (Takamol estimates)

Market dynamics: a niche market, less mature than Riyadh and Jeddah, with limited published institutional data on occupancy and rents; demand is shifting towards modern, high-quality offices from project-management, development, hospitality, tourism, Hajj and Umrah services, consulting, professional services and healthcare firms.



Takamol reading

Future supply: modern offices are expected to grow within mixed-use projects, led by Masar, which combines office, retail, hospitality and residential components within about 5.7 million sqm of development GFA.

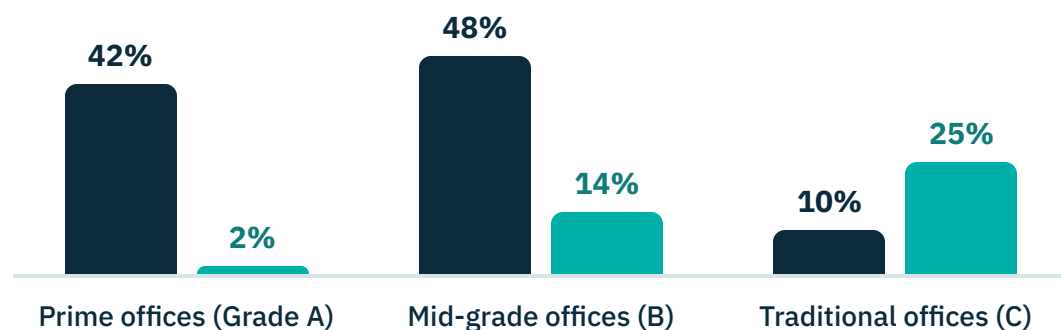
Market direction: a gradual shift to modern, serviced offices and mixed-use assets, supported by giga-projects, Central Area regeneration and transport corridors, with notable growth in flexible offices and business services.

Entry window: before Masar's offices are delivered (2027–2028), modern buildings on Masjid al-Haram Road and in Al-Aziziyah retain a pricing premium (up to SAR 900/sqm).

Supply and demand dynamics and office market size

Estimated share of supply versus vacancy rate

■ Share of supply
■ Vacancy rate



Takamol estimates based on the 2026 market survey · vacancy is concentrated in traditional buildings while modern space is almost full.

2027–2028

Delivery of the key new office supply (Masar destination)

5.7M sqm

Mixed-use development GFA at Masar

500–900

SAR/sqm/year — indicative range for modern offices

3–5 years

Average office lease term

Outlook 2026–2028

A growing pipeline of modern offices within mixed-use projects, with Masar the most significant contributor to future supply. Published sources do not yet isolate office NLA or confirm delivery volumes, and no reliable net absorption indicator exists — so the figures here remain indicative. Direction: an advantage for modern buildings and prime locations, with gradual pressure on traditional stock.

Rent map by corridor – reference indicators

Area / corridor	Grade A	Grade B	Rent level	YoY change
Al-Aziziyah / Masjid al-Haram Road	900 SAR	500 SAR		+3.5%
Al-Awali / Ibrahim Al-Juffali Road	650 SAR	450 SAR		+2.5%
Al-Naseem	650 SAR	425 SAR		+2.0%
Al-Shawqiyah / Third Ring Road	550 SAR	375 SAR		+1.5%
King Fahd Road	525 SAR	375 SAR		+1.5%
Al-Sharai	475 SAR	325 SAR		+1.0%

Annual rent in SAR per sqm · bar index relative to the top corridor (Al-Aziziyah = 100%) · annual change is a Takamol estimate.

1.9×

Rent gap between Al-Aziziyah / Masjid al-Haram Road (900) and Al-Sharai (475) for modern offices

Reading the corridors

Al-Aziziyah and Masjid al-Haram Road:

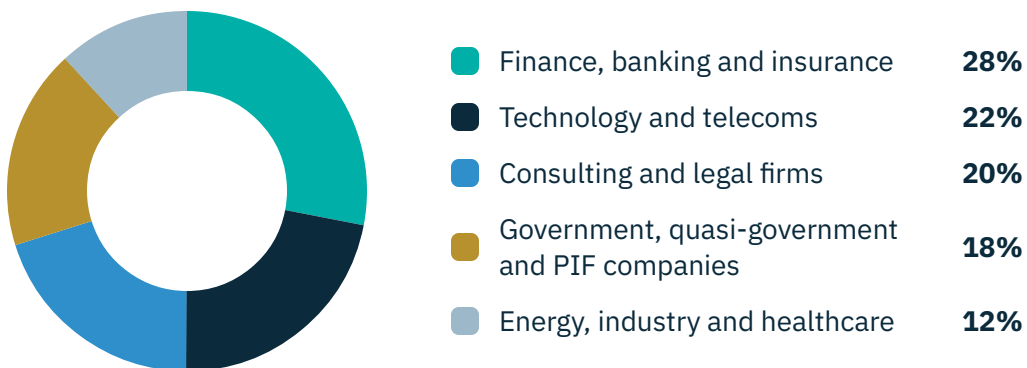
highest demand and value — home to Hajj and Umrah, hospitality and project-management firms.

Al-Awali and Al-Naseem: stable to positive; mature service corridors rewarding flexible offices, clinics and professional services.

Al-Shawqiyah, King Fahd and Al-Sharai: a local market at lower entry prices, anchored by professional services and sole practitioners.

Institutional demand segments and shifting tenant requirements

Institutional office demand in Makkah 2026, by sector



Takamol estimates based on the 2026 market survey.

Modern buildings, more flexible and better-equipped space

Modern

Makkah's office market is gradually shifting to modern buildings and more flexible, fitted space, driven by mixed-use projects led by Masar and by demand from project-management, development, hospitality and Hajj and Umrah firms.

Flexible offices and co-working

Flex

Flexible offices and co-working are growing, with shared workspaces and fitted offices on several commercial corridors — more agile solutions for SMEs, entrepreneurs and teams attached to the giga-projects.

What does the institutional tenant look for in Makkah?

Proximity to access corridors, hotels and services · ample parking · flexible floor plates · digital infrastructure and operational efficiency (ESG) · easy access to business areas and pilgrim services.

Urban connectivity: new corridors redraw the office demand map

Proximity to access corridors, hotels and services matters more and more, leveraging the transport networks tied to the Central Area; in Makkah, location appeal rests on easy access to business areas and pilgrim services. New corridors — Masar, King Abdulaziz Road, the Haramain Rail station, the Third Ring Road — are gaining appeal on the back of mixed-use development and better infrastructure, while 12 bus lines, 431 stops and 580 km link the Central Area and the districts with Haramain Rail.

580 km

Bus routes · 431 stops · 12 lines

53.4M

Passengers via King Abdulaziz Airport 2025

5.7M sqm

Development GFA at Masar

500–900

SAR/sqm/year for modern offices

Impact on offices: corridors served by public transport near the rail station and the Holy Mosque attract Hajj and Umrah, hospitality and project-management headquarters — the map of future office demand in Makkah.



Investment opportunities, challenges and outlook

1

Selective rental growth

A growing advantage for modern, fitted offices, with demand concentrated in well-connected locations and mixed-use projects, against limited demand for traditional office buildings, which face higher vacancy and rent pressure.

2

Integrated transport links

12 lines, 431 stops and 580 km of bus routes, plus integration of the Central Area and the districts with Haramain Rail — lifting the appeal of offices on served corridors and widening demand beyond the core.

3

FLEX OFFICES + ESG

More flexible, sustainable offices with digital infrastructure, operational efficiency and modern mixed-use buildings; the institutional tenant now chooses on fit-out and flexibility, not location alone.

4

Outlook: new corridors on the rise

Masar – King Abdulaziz Road – Haramain station – Third Ring Road, supported by mixed-use development and better infrastructure; as Masar supply arrives in 2027–2028, competition on traditional buildings intensifies while modern stock holds its position.

03

Residential Sector and Housing Market

Residential dashboard · Future supply and major suburban schemes ·
Price map across the four zones · Emerging products and construction
technology · Investment outlook and yields



Operating dashboard and the housing market in the Holy City

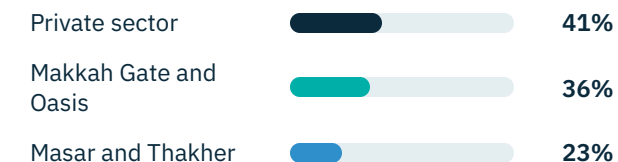
Indicator	Current value (2026)	YoY change	Statistical analysis and data sources
Total existing housing stock	+570,000 housing units	+2.3%	Apartments (ownership flats and apartment buildings) make up about 68% of existing homes in the Holy City, against 32% for villas and detached houses.
Average apartment sale price per sqm	SAR 3,400 – 4,800/sqm	+3.2%	Stable, gradual growth in mainstream districts (Al-Awali, Al-Shawqiyah, Batha Quraysh, Al-Rusaifah); up to SAR 5,500/sqm in modern high-spec buildings.
Average villa sale price per sqm	SAR 3,800 – 5,200/sqm	+2.1%	Relatively firm as developers shift to compact duplexes and townhouses (220–300 sqm) suited to Makkah families' financing capacity.
Average annual apartment rent	SAR 26,000 – 42,000/year	+6.2%	Steady growth in permanent leases registered via Ejar, with extra returns for apartments licensed for seasonal pilgrim housing.
Net rental yield on apartments	6.4% – 7.4%	+25 bps	Net yield rises to 8.5% – 10.5% when units are let under approved seasonal leases during the Hajj and Umrah seasons.
Makkah's share of home finance	~8.5% – 10% of the Kingdom	Positive growth	Steady retail mortgage lending supporting home ownership and off-plan schemes in the Holy City's suburbs.

Growing structural demand led by Makkah families towards affordable ownership apartments and townhouses, alongside an exceptional investment edge: letting residential units in the Hajj and Umrah seasons. Apartments account for more than 68% of residential transactions.

Future supply dynamics and major suburban schemes

Zone / developer	Delivery 2026–28	Planned 2028–30	Product mix
Makkah Gate (first suburb)	8,300 units	+17,000 units	Integrated communities: villas, townhouses and affordable family apartments on 5m sqm west of Makkah.
Masar (Umm Al-Qura Development)	4,500 units	+19,500 units	Luxury residential towers, serviced hotel apartments and usufruct investment units.
Thakher Makkah (north)	3,200 units	+8,000 units	Integrated scheme of residential and serviced apartment towers and hotel units.
Makkah Oasis and development housing	4,000 units	+6,500 units	Affordable ownership apartments for housing-support beneficiaries and regeneration schemes.
Private developers (Wali Al-Ahd, Al-Shawqiyah)	14,000 units	18,000 units	Family apartment buildings for sale, small compounds and detached duplexes.
Total supply capacity	34,000 units	+69,000 units	A balanced mix closing the family housing gap and adding seasonal investment assets.

Share of 2026–2028 deliveries by developer



Need versus supply

The Holy City needs 15,000–20,000 new units a year to meet demographic growth and absorb demand from central-area regeneration, led by the Makkah Gate suburb and the major transformation projects.

Price map and geographic comparison across Makkah's four zones

Central Area and Holy Mosque perimeter

The luxury investment zone

Masar, Jabal Omar, Ajyad, Al-Ghazzah, First and Second Ring Roads

Apartments (SAR/sqm)
25,000 – 65,000+

Villas (SAR/sqm)
Central land and towers

East and South-East zone

The family residential zone

Al-Awali, Al-Naseem, Al-Jamiah, Batha Quraysh, Al-Hijrah

Apartments (SAR/sqm)
3,800 – 5,500

Villas (SAR/sqm)
4,500 – 6,200

South and West zone

Services and movement corridor

Al-Shawqiyah, Al-Kaakiyah, Al-Rusaifah, Al-Khalidiyah, Al-Iskan

Apartments (SAR/sqm)
3,400 – 4,800

Villas (SAR/sqm)
3,800 – 5,200

Outer suburbs zone

Affordable expansion: Makkah Gate and Wali Al-Ahd schemes

Makkah Gate suburb, Wali Al-Ahd schemes (1–9), Al-Tan'eem, Al-Nawariyah

Apartments (SAR/sqm)
2,400 – 3,500

Villas (SAR/sqm)
3,000 – 4,200

Spatial trend: the Holy Mosque perimeter and Central Area command the Kingdom's highest transaction values, dedicated to hospitality and usufruct titles; the eastern (Al-Awali) and south-western (Al-Shawqiyah) zones lead family ownership demand, while the western suburbs (Makkah Gate and Wali Al-Ahd) offer the main outlet for subsidised affordable products. The gap between the family zone and the suburbs is around 1.6×.



Actual Makkah district boundaries · coloured by direction from the Holy Mosque · zone locations approximate

Emerging residential products and modern development technology

Rising housing formats in the Holy City

- **Flexible, seasonal ownership apartments (Dual-Purpose Living)**

Modern ownership apartments designed to pilgrim-housing permit standards; Makkah families live in them year-round with the option to let them lawfully during Ramadan and Hajj, lifting unit returns by 25% – 35%.

- **Serviced hotel apartments and usufruct title (Usufruct Branded Residences)**

Luxury residential units at Masar and the central tower projects under long-term usufruct (up to 99 years), leveraging regulatory updates to attract investors from inside and outside the Kingdom.

- **Affordable suburban townhouses and duplexes**

Compact, detached designs of 220 – 280 sqm at prices matched to purchasing power, meeting family preference for a modern, practical alternative to large villas in Makkah Gate and the Wali Al-Ahd schemes.

Modern Methods of Construction (MMC)

8–10 months instead of 18

Precast concrete and modular pods

Cutting residential build time from 18 months to just 8–10, in step with the delivery of 34,000 units by 2028 and the major suburban schemes.

-25% cooling bills

Advanced thermal insulation and energy efficiency

Applying Saudi Building Code standards for high temperatures, with insulated double glazing and dust-resistant finishes, cuts cooling bills by 25% and lifts operating viability.

Residential investment outlook, challenges and strategic recommendations

Strategic theme	Field reality and analysis (Holy City)	Executive recommendation for developers and investors
Family ownership apartments	Makkah families' purchasing power centres on 3- and 4-bedroom apartments (140 – 180 sqm) priced between SAR 450k and 750k.	Design layouts that deliver family privacy, with private shaded parking and independent water tanks as the first preference criterion.
Seasonal letting and transport corridors	Exceptional demand for serviced apartments near the Haramain Rail station at Al-Rusaifah and Masar destination.	Build residential compounds for institutional letting, managed via Ejara and licensed apps to secure year-round cash flow.
Cost of preparing mountainous land	Makkah's rugged rocky terrain and the high cost of grading and rock-cutting account for 35% to 45% of project cost.	Use partnership and land-development models with raw-land owners, or draw on NHC's ready-serviced Makkah Gate land.
Off-plan sales (Wafi)	Growing buyer appetite for licensed off-plan schemes backed by bank escrow guarantees, avoiding the high cost of completed stock.	Rely fully on Wafi licences to fund the construction cycle from buyer instalments and cut costly bank finance.
Institutional staff housing	Growth in hospitality, retail, transport and Hajj and Umrah services creates stable demand for rented housing for professionals and expatriates.	Invest in build-to-rent schemes in the South and West zone on long leases with hotel operators and service companies.

The Holy City's residential market is moving to a balanced institutional development model: closing the affordable family housing gap for residents through the western suburbs, while capitalising on Makkah's globally unique advantage of letting residential and investment assets during the major religious seasons.

Takamol reading: where does residential return concentrate? Three investment models

An illustrative example built on the average prices and rents in this report — not an investment offer; the detailed study is produced through Real Invest.

Model A

Family apartment in Al-Awali

East zone · 150 sqm · 3 bedrooms

Estimated price per sqm	SAR 4,500
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Unit value	SAR 675,000
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Annual rent	SAR 42,000
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Gross yield

6.2%

Estimated net 6.4%–7.4% with rent growth of +6.2% · most saleable to Makkah families

Model B

Flexible seasonal apartment in Al-Shawqiyah

Dual-purpose · 160 sqm · pilgrim-housing permit

Estimated price per sqm	SAR 4,000
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Unit value	SAR 640,000
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Annual + seasonal rent	SAR 56,000
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Gross yield

8.8%

Estimated net 8.5%–10.5% with seasonal letting · the highest residential yield in Makkah

Model C

Townhouse in Makkah Gate

Western suburbs · 250 sqm built

Estimated price per sqm	SAR 3,800
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Unit value	SAR 950,000
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Annual rent	SAR 55,000
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Gross yield

5.8%

Estimated net 5.2%–6.0% · ready NHC land and sustained family demand

04

Retail and Shopping Centre Sector

Dashboard · Delivery map of major retail schemes and destination centres · The four pillars of demand · Enclosed malls versus open-air centres · The four corridors · The strategic pyramid



General and operating dashboard for the Makkah retail market

≈443K sqm

GLA in 2026 → ≈575k sqm in 2028

≈10,800

SAR/sqm/year — rents near the Holy Mosque

≈2,100

SAR/sqm/year — neighbourhood and community centres

86–87%

Overall retail occupancy · 98–99% in prime centres

Existing lettable space and occupancy

Lettable supply stands at around 443k sqm GLA in 2026 and is expected to reach about 575k sqm in 2028, with demand still ahead of supply. Prime shopping centres post strong occupancy of 98% to 99% with limited vacancy (1%–2%): Makkah Mall 98.1% in H1 2025 and the Makkah Construction and Development Company centre around 99%.

This reflects robust demand for high-quality retail assets in prime locations, against an overall occupancy average of 86%–87% that includes older assets further from the core.

Prime centres		98–99%
Overall retail average		86–87%

Takamol reading

Makkah's retail market is moving towards more integrated destinations that combine shopping with F&B, entertainment and open-air experiences, driven by a relative shortage of F&B and leisure around the Holy Mosque. Masar exemplifies this, developing a mixed-use urban environment along a pedestrian spine linked to the Central Area.

The rent gap between the Holy Mosque perimeter (≈10,800) and neighbourhood centres (≈2,100) is close to 5× — the steepest retail rent gradient in the Kingdom.

Opportunity window: +132k sqm of new GLA by 2028 concentrated in open-air and mixed destinations — community centres in new districts remain the least contested and fastest to lease.

Delivery map of major retail schemes and destination centres 2026–2029

1 Jabal Omar and Masar destination Phase 4

Central Area and western corridor · +80k sqm retail GLA at Jabal Omar · 23k sqm shopping centre in Phase 4 · 5.7+ million sqm GFA at Masar · direct links to the Holy Mosque, Haramain Rail and the Third Ring Road

2 Al-Huda Park — Makkah Q1 2027

Fourth Ring Road · +50k sqm GLA · more than 280 retail, F&B and leisure units in an integrated lifestyle destination · on a growing residential corridor serving residents and visitors · opening targeted Q1 2027

3 Masar Mall 2026–2029

Masar destination · +63k sqm GLA · retail, restaurants, cafés and leisure · directly linked to Haramain Rail and the pedestrian spine to Masjid al-Haram · targets around 20 million visitors a year

4 Masar — commercial operations 2026

Makkah's western corridor, opposite the Haramain Rail station and along the road to the Central Area and Masjid al-Haram · 5.7+ million sqm GFA · 63k sqm GLA at Masar Mall · commercial operations begin 2026

+132k sqm of modern lettable space planned by 2028 (from 443k to 575k sqm) — concentrated in open-air and mixed destinations on the western corridor and the Fourth Ring Road, redistributing retail weight from the Holy Mosque perimeter alone to the transport corridors.



Project locations approximate on the actual Makkah district map

The four pillars of demand and spending in Makkah's retail complexes

Retail demand by pillar (Takamol estimates)



- Hajj and Umrah pilgrims and visitors:** One of Makkah's key consumption drivers; the Kingdom received about 15.23 million Umrah pilgrims in Q1 2026, of whom around 5.77 million came from abroad, supporting demand for hospitality, F&B, retail, transport and services.
- Tourism and hospitality:** Guests of hotels and serviced apartments spend heavily on F&B, retail, transport and leisure; Makkah leads the Kingdom with about 305k licensed rooms at end-H1 2025 and occupancy of around 59.8% in Q1 2026.
- Local residents:** Residents of Makkah and the districts around each complex form the recurring, relatively stable demand base for supermarkets, restaurants, cafés, fashion, services and leisure — easing full dependence on seasonal Hajj and Umrah demand.
- Institutional and workforce spending:** Staff in Hajj and Umrah, hospitality, development, project management, government and service entities form a significant demand base for restaurants, cafés and daily services, especially around the Central Area and Masar.

15.23M

Umrah pilgrims in Q1 2026 — 5.77 million from abroad

305K

Licensed rooms in Makkah — the Kingdom's largest hospitality base

20M

Visitors a year targeted for Masar Mall alone

Summary

The winning tenant mix in Makkah starts with restaurants, cafés and daily retail serving visitors, and is anchored by neighbourhood services and family leisure for residents in Al-Awali, Al-Shawqiyah, Al-Naseem and Al-Sharai.

Benchmark: traditional enclosed malls versus open-air centres

	Open-air centres (Strip & Lifestyle Malls)	Regional enclosed malls
Key examples	Masar – Al-Huda Park – Makkah Gate Souq; new destinations combining retail with F&B, leisure and open space on transport corridors	Makkah Mall – Aswaq Makkah and the major centres; conventional retail, local and international brands and daily services in an air-conditioned setting
Occupancy	Pre-leasing Growing pre-leasing and strong demand for modern schemes under development	98–99% In some high-performing prime centres, with limited vacancy of 1%–2%
Average rent	3,000–6,000+ SAR/sqm/year for frontages and prime positions, varying widely by location	2,100–2,500 SAR/sqm/year as an indicative range for resident-oriented centres
Operating edge	Restaurants, cafés, leisure and visitor experience; open, flexible space; better pedestrian and transport links	Strong demand from residents and visitors, an air-conditioned shopping experience and year-round operating stability

Open-air premium: open destinations on transport corridors achieve rents of up to 2.4× resident-oriented enclosed centres — making the re-orientation of traditional mall space towards F&B and leisure an investment priority.

Geographic distribution and rents by retail corridor in Makkah

1

Northern corridor

Al-Zahir – Jarwal – Al-Tan'eem – Madinah Road

Serves Makkah's northern gateway and Umrah flows from Al-Tan'eem. Retail profile: neighbourhood centres, supermarkets, restaurants and cafés, daily services and roadside retail; Madinah Road positions are gaining appeal.

2,100 – 3,200

SAR/sqm · occupancy 88%

2

Eastern corridor

Al-Aziziyah – Al-Naseem – Masjid al-Haram Road – Holy Sites

The strongest corridor for seasonal pilgrim housing. Retail profile: frontages on Masjid al-Haram Road, restaurants and cafés, pilgrim retail, community centres in Al-Naseem; a sharp peak during Hajj.

2,500 – 4,500

SAR/sqm · occupancy 91%

3

Southern corridor

Al-Awali – Al-Shawqiyah – Prince Sultan Rd – Makkah–Al-Huda – Fourth Ring Rd

The densest residential corridor. Retail profile: lifestyle retail (Al-Huda Park), community centres, restaurants and cafés, family leisure and health services; mainly residents, plus seasonal demand.

2,100 – 3,500

SAR/sqm · occupancy 90%

4

Western corridor

Central Area – Masar – Prince Mohammed bin Salman Rd – Haramain Rail

The heart of luxury retail and new destinations. Retail profile: retail near the Holy Mosque (≈SAR 10,800/sqm), Masar Mall and Jabal Omar, F&B and leisure on a pedestrian spine linked to the Holy Mosque and the rail station.

3,000 – 10,800

SAR/sqm · occupancy 97%

Implication: the rent gap between the western corridor (Holy Mosque perimeter) and the residential corridors reaches 5×, with an occupancy gap of about 9 points — the market rewards proximity to the Holy Mosque and transport links above all. Corridor ranges are Takamol estimates.



Centres of gravity of the retail corridors on the Makkah district map

The strategic pyramid and executive recommendations for retail

Lifestyle destinations and visitor experience

Retail + restaurants and cafés + leisure + culture and visitor experiences + open space: concentrated on the Masar, Central Area, Al-Aziziyah, Al-Awali and Fourth Ring Road corridors, closely tied to pilgrim and resident flows — the highest rents and fastest leasing.

Community service centres

Supermarket + pharmacies + clinics and health services + fitness + restaurants and cafés + daily services: serving Makkah's new and growing residential districts, especially Al-Awali, Al-Shawqiyah, Al-Naseem, Al-Sharai and the Fourth Ring Road — stable income on long leases that softens seasonality.

Repositioning existing centres

Repositioning: converting under-performing space to F&B, leisure, services and visitor experiences, and upgrading facilities and common areas to lengthen dwell time, lift asset efficiency and keep pace with the new destinations at Masar and Al-Huda Park.

Execution matrix

Transport and smart parking

Ample shaded parking with direct links to bus stops and Haramain Rail — the number-one factor in Makkah.

Flexible, seasonal leasing

Base rent plus turnover share for F&B, and short seasonal contracts for Ramadan and Hajj pop-ups.

Digital integration and city identity

Pick-up and delivery points for hotels, and a visitor experience reflecting Makkah's spiritual and cultural identity.

Pyramid order from the top: highest priority by return versus development effort.

05

Hajj and Umrah Services, Logistics and Transport

Dashboard and gauges · Flow chart: from the airport to the Holy
Mosque and Holy Sites · Demand drivers for service infrastructure ·
Warehousing and light industry · Investor opportunities



Dashboard: the access and service system carrying the Kingdom's largest human flow

53.4M

Passengers through King Abdulaziz International Airport in 2025

15.23M

Umrah pilgrims in Q1 2026 · 5.77 million from abroad

580+ km

Makkah bus routes · 431 stops · 12 lines

30M

Umrah pilgrims targeted a year by 2030

Capacity and service indicators

System dynamics: absorbing pilgrims rests on three links — arrival (the airport and Haramain Rail), movement within Makkah (buses and shuttle stations), and accommodation and service (hotels, F&B, retail and seasonal housing); each link generates a different kind of property demand.

2030 target — Umrah pilgrims a year		30M
Q1 2026 Umrah pilgrims (one quarter)		15.23M
Hajj pilgrims 2025 season		1.673M
Licensed rooms in Makkah		392K

Why logistics infrastructure is a real estate sector in Makkah

A flow of 15 million Umrah pilgrims in a single quarter needs shuttle stations, bus depots, reception centres, central kitchens and catering warehouses, and laundry and maintenance services for hotels — operational property assets on long leases with Hajj and Umrah operators.

These assets spread across the fringes and transitional areas (Kudai, Al-Sharai, Jeddah Road, Al-Nawariyah) where plots are larger and prices lower, linked to the Holy Mosque by an integrated network of 12 lines, 431 stops and 580 km; value depends on location, infrastructure and roads.

Flow chart: from the airport and rail to the Holy Mosque and Holy Sites

Four sequential links that define where service and logistics property demand concentrates in Makkah.

Link 1

Air and rail arrival

53.4M

King Abdulaziz International Airport (53.4 million passengers in 2025) and the Haramain High-Speed Rail linking Makkah with Jeddah and Madinah — the main gateway for pilgrim flows.



Link 2

Movement within Makkah

580 km

The Makkah bus network (12 lines · 431 stops · 580+ km), shuttle stations (Kudai and others) and bus depots on the fringes — linking the airport and rail to the Central Area.



Link 3

Accommodation and catering

392K rooms

More than 392k licensed rooms need daily supply chains: central kitchens, catering warehouses, laundry and maintenance — service assets on the fringes under contracts with operators.



Link 4

The Holy Mosque and Holy Sites

1.673M pilgrims

Masjid al-Haram, Mina, Arafat and Muzdalifah: peak flows in Hajj (1.673 million pilgrims in 2025) and Ramadan — hotel occupancy reaches 98–100% and assets are priced by distance from the Holy Mosque.

The decisive location: the Haramain station – Masar – Jeddah Road triangle to the west, and the Kudai – Third Ring Road corridor to the south, are where transport capacity meets available land.

Required specification: bus parking and manoeuvring, chilled kitchens and warehouses compliant with Ministry of Hajj standards, maintenance and laundry facilities, and reception and sorting centres.

Target tenants: Hajj and Umrah service companies, hotel operators, catering and shuttle-transport firms, and logistics providers serving the Central Area.

Demand drivers for service and logistics infrastructure, and developer opportunities

The five demand drivers

1

The 30 million Umrah pilgrim target by 2030: Doubling capacity means doubling the need for transport stations, reception centres and catering warehouses before the hotels are complete.

2

Year-round (365-day) Umrah visas: Extending the season via the Nusuk platform and lengthening average stays from 4 to 8–10 days turns service demand from seasonal to near-permanent.

3

Haramain Rail and bus integration: Corridors tied to the Al-Rusaifah station and 431 bus stops become natural clustering points for transit stations and services.

4

Giga-projects around the Holy Mosque: Masar (5.7M sqm GFA) and King Salman Gate (12M sqm) need vast operational supply chains outside the Central Area.

5

E-commerce and hotel servicing: 392k rooms and millions of daily meals at peak lift demand for central kitchens, chilled warehouses and distribution centres.

Investment opportunities

Shuttle stations and bus depots on operating contracts

Developing depots and stations at Makkah's gateways (Kudai, Al-Sharai, Jeddah Road) under contracts with transport operators and Hajj companies — operational assets with predictable flows riding the 30 million pilgrim target.

Central kitchens and chilled catering warehouses

Units of 2,000–5,000 sqm compliant with Ministry of Hajj and Umrah standards on the Third and Fourth Ring Roads, serving hotels and caterers — the clearest gap in the market as seasons lengthen.

Maintenance, laundry and hotel support facilities

Support services for 392k rooms (central laundry, maintenance, storage) outside the Central Area on long leases with hospitality operators — stable year-round income and low operating risk.

06

Hospitality and Hotel Sector

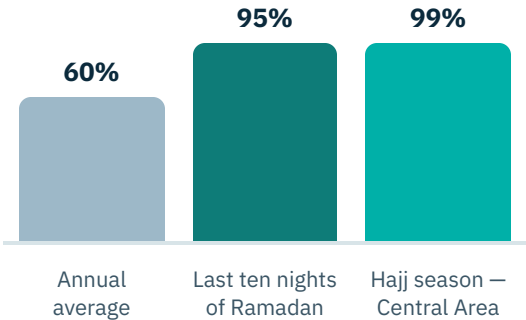
Operating and financial indicators · Demand drivers and guest behaviour · Development and investment economics · Geography of investment hotspots · Seasonality · Risks and mitigation · Recommendations



Comprehensive operating and financial dashboard for the Makkah hotel market

Indicator	Estimated value 2026	YoY change	Analysis and data sources
Total existing hotel supply	+392,314 rooms	+5.4%	Largest hotel capacity in the Kingdom; c.65,000 branded classified rooms, the rest hotel apartments and pilgrim housing.
Annual occupancy rate	59.9%	+3.2 pp	Central Area occupancy hits 98%–100% in the last ten nights of Ramadan and in Hajj; moderate in other months.
Average daily rate (ADR)	SAR 780 / night	+11.5%	Weighted annual average; 5-star hotels facing the Holy Mosque exceed SAR 3,500 – 7,500+ in peak seasons.
RevPAR	SAR 510	+15.2%	Driven by a near year-round Umrah season and more pilgrims on visit and tourist visas and via Haramain Rail.
Total RevPAR	SAR 880 / room	+13.8%	A major contribution from F&B through communal iftar and suhoor buffets and official Hajj mission services.
GOP margin	46% – 52%	+2.5%	The highest hotel operating margins, driven by peak occupancy density and low marketing costs in the seasons.

Occupancy: annual versus peak



Institutional analysis

Makkah's hospitality market has seasonality of exceptional intensity: the Hajj and Umrah peaks (Ramadan and Dhul Hijjah) deliver record occupancy above 95% and extraordinary rates, while the market shifts gradually to 365-day operations, supported by easier Umrah visas and the Pilgrim Experience Programme target of 30 million Umrah pilgrims by 2030.

Future supply dynamics and hotel demand drivers in Makkah

Demand segment	Key drivers and feeder events	Guest daily spend	Average stay	Share
Hajj and Umrah tourism (core segment)	Nusuk platform visas, the Ramadan seasons and official accredited Hajj missions.	SAR 750 – 2,200	6.5 nights	74%
Domestic and GCC visitors	Weekend trips and holiday seasons via Haramain Rail and the motorway corridors.	SAR 1,100 – 2,400	2.5 nights	15%
Islamic conferences and forums (Islamic MICE)	Hajj and Umrah conferences, Islamic Development Bank forums, Muslim World League and Makkah Emirate symposia.	SAR 1,400 – 2,600	3.8 nights	7%
Long stays and mission housing	Supervisors, medical and organising staff of international Hajj missions, and giga-project consultants.	SAR 450 – 750	22.0 nights	4%

Hajj and Umrah 74%

Domestic and GCC 15%

MICE 7%

4%

Shifts in guest behaviour

Extended Umrah stays: average stays lengthening from 4 days to 8–10 days as the religious and cultural experience is enriched with visits to historic sites and enrichment museums in Makkah (Hira Cultural District and Jabal al-Nour).

Higher F&B spend: restaurant and accredited catering revenue inside hotels accounts for 35% to 42% of the sector's total operating income.

35–42%

F&B and catering contribution

Revenue from restaurants, iftar and suhoor buffets and Hajj mission services as a share of total operating income of Makkah hotels.

Hotel development and investment economics: three categories compared

Financial and development metric	5-star Luxury	4-star Upscale	Serviced apartments Serviced Living
Build and fit-out cost per key (CapEx/Key)	1.3 – 1.8m	700 – 950k	450 – 650k
International operator fees (Base + Incentive)	2.5% revenue + 8% GOP	2.0% revenue + 6% GOP	1.5% revenue + 5% GOP
Average annual net cash flow per key	145,000 – 210,000	85,000 – 125,000	55,000 – 80,000
Rate of return — expected IRR	14.0% – 16.5%	15.5% – 17.8%	17.0% – 19.5%
Payback period	7.5 – 9.0 years	6.5 – 7.8 years	5.2 – 6.5 years

Values in SAR · Takamol estimates based on hotel development benchmarks in Makkah 2026.

Up to 50%

Of capital cost covered by Tourism Development Fund (TDF) loans and packages for quality hospitality and enrichment facilities in Makkah

The sector's funding drivers

REITs and development funds: wide reliance on CMA-licensed funds to finance tower construction, hold usufruct rights and share capital risk.

Serviced apartments are the most viable: the highest IRR (up to 19.5%) and shortest payback (5.2–6.5 years) at the lowest capital cost — the best fit for family and extended-stay demand in Makkah.

Geography of hotel investment hotspots in Makkah

1	First Central Area (Holy Mosque perimeter) Luxury overlooking the Kaaba	King Abdulaziz Endowment towers, Jabal Omar, the northern and western plazas. Target supply: ultra-luxury 5-star hotels overlooking the Kaaba and VIP pilgrim suites.	1,800 – 4,500+ SAR · target ADR
2	Masar and Umm Al-Qura Road The western gateway	Masar, the Haramain Rail station at Al-Rusaifah, international hotel towers. Target supply: modern 4- and 5-star hotels and serviced apartments linked to the Holy Mosque by shuttles.	850 – 1,650 SAR · target ADR
3	Thakher Makkah and the north Al-Hajun Street	Thakher Makkah, the Second Ring Road, the historic Al-Mualla cemetery. Target supply: 4-star hotels and serviced apartment towers for pilgrim families.	550 – 950 SAR · target ADR
4	Al-Aziziyah and Mahbas Al-Jinn zone The historic pilgrim centre	The Mahbas Al-Jinn express tunnel to the Holy Mosque, the Jamarat Bridge, the Holy Sites hospitals. Target supply: high-capacity 3- and 4-star hotels for accredited Hajj missions.	450 – 850 SAR · target ADR
5	Kudai, Al-Naseem, Third Ring Road Economy hospitality	Kudai shuttle station, Makkah bus depots, Al-Noor Hospital. Target supply: 3-star hotels and economy hotel apartments for overland Umrah trips and domestic visitors.	280 – 480 SAR · target ADR

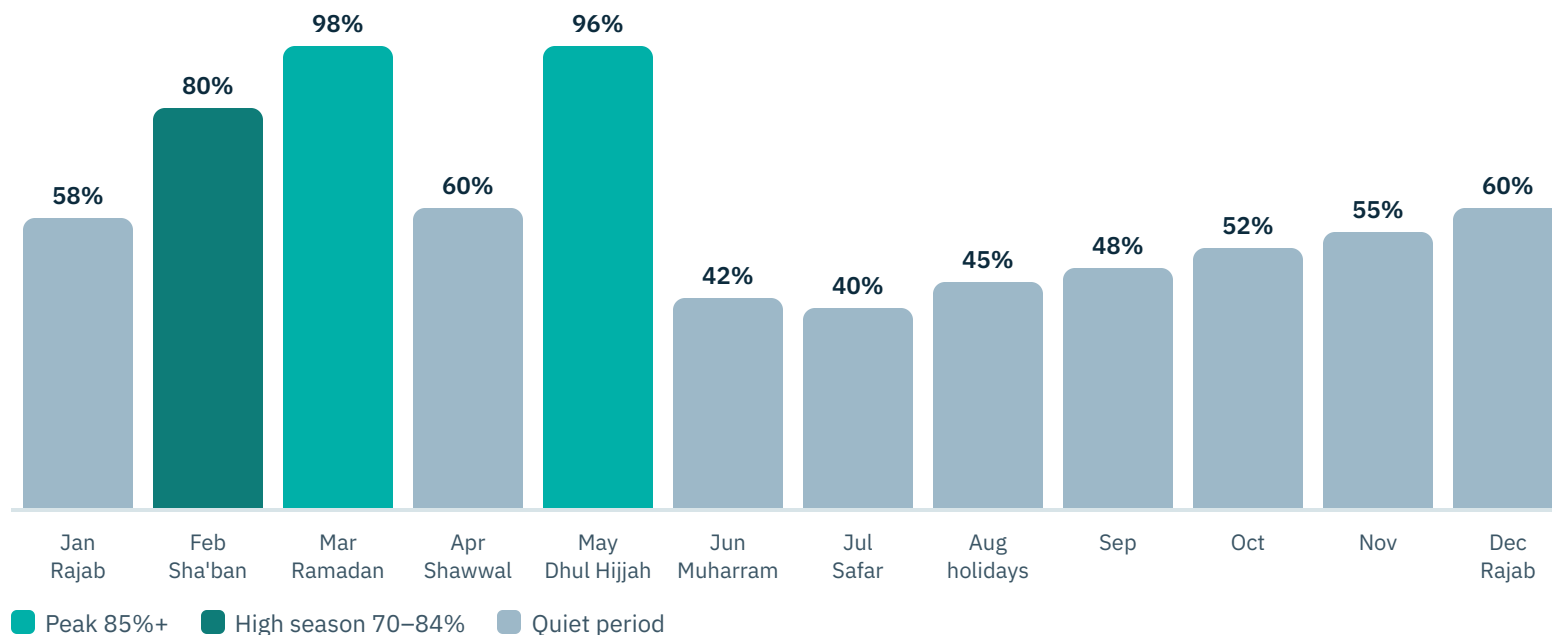
Implication: the ADR gap between the Holy Mosque perimeter (up to 4,500+) and Kudai (280) exceeds 16× — the Kingdom's steepest hotel price gradient; Masar offers the best balance of price and proximity.



The five hotel investment corridors on the Makkah district map

Seasonality: estimated hotel occupancy curve through the year

Takamol's reading of demand rhythm in Makkah — an illustrative estimate from the annual average (59.9%) and the Ramadan and Hajj peaks (95%–100%), 2026 calendar.



~58 points

Gap between the Ramadan peak (98%) and the post-Hajj trough (40%) — the top operating challenge for a Makkah hotel owner

How is seasonality managed?

At peak: dynamic pricing, minimum stays and accredited mission packages via Nusuk under advance contracts.

In the trough: 365-day Umrah programmes, discounted stays from Muharram to Jumada al-Akhirah, Islamic MICE and staff housing.

In design: flexible (dual-key) assets switching between hotel use, mission housing and extended stays (22 nights).

Strategic hedging and executive mitigation in Makkah

Challenge / Risk	Impact	Strategic hedge and executive mitigation
Acute seasonality and the inter-season occupancy gap	High	Run 365-day Umrah programmes linked to the Nusuk platform, attracting pilgrims in the trough months (Muharram to Jumada al-Akhirah) with discounted stay packages.
High central land cost and rock-cutting	High	Invest in the organised giga-project land (Masar, Thakher) under long-term usufruct (up to 99 years) to avoid the heavy cash burden of outright land purchase.
Technical requirements for pilgrim-housing permits	Medium	Adopt dual-compliance design so buildings meet Ministry of Tourism hotel standards, Civil Defence requirements and the Pilgrim Housing Committee rules at once.
Competition from hostels and budget apartments	Low	Contract with accredited branded hospitality operators and connect to global distribution systems (GDS) to secure advance mission and group bookings.

Final executive recommendations for hospitality investors in Makkah

01

Capture the serviced hotel apartment (extended-stay) opportunity

Achieve the fastest payback (under 6 years) and highest IRR (above 17%) by developing usufruct-based serviced apartments at Masar and in the zones around the Holy Mosque to meet demand from families and long-stay delegations.

IRR 17.0%–19.5% · payback 5.2–6.5 years

02

Invest in upper-midscale hotels

Close the price gap between costly luxury towers and budget hostels by building modern 4-star hotels on the Masar corridor and at shuttle stations at balanced rates (SAR 450 – 850), targeting the largest share of Umrah pilgrims from the Muslim world.

Target ADR SAR 450–850 · the widest gap in the market

03

Use REITs and the franchise model

Structure projects through CMA-licensed investment funds to reduce financing risk, and apply franchising to run assets efficiently at higher margins while cutting foreign management fees, with TDF funding of up to 50%.

Up to 50% soft funding · franchise instead of management

07

Legislative and Regulatory Framework

Non-Saudi ownership and usufruct rights · White land fees and supply release · Real estate contributions law · Brokerage and the Ejar network · Title registration · Credit environment and REITs



Regulation of non-Saudi property rights and approved geographic areas in Makkah

99 years

Long-term, renewable usufruct rights for non-Saudis in the giga-projects (the alternative to freehold)

SAR 4M

Minimum asset value for Premium Residency "property owner" holders to acquire usufruct rights within the Holy City

~7.5%

Total transaction-related costs (5% RETT + brokerage commission capped by law at 2.5%)

Scope of usufruct in Makkah

Long-term usufruct zones: an exceptional regime for Makkah grants non-Saudis long-term, renewable usufruct rights of up to 99 years in the giga-projects (Masar, Thakher Makkah and Jabal Omar) and in the hotel and office towers around the Central Area.

Global companies and Hajj and Umrah entities: long-term leasing and usufruct ownership for headquarters and operations centres of airlines, international hotel chains and overseas pilgrim service companies.

Digital track: mandatory property verification, no-objection certificates and instant electronic linkage with the Real Estate Registry (RER) via the Saudi Properties platform to ensure compliance with the rules specific to the Haram boundary.

Target groups and expected return

Premium Residency holders: access to 99-year usufruct rights over residential and commercial property within the Holy City (notably the "property owner" product for unencumbered assets of SAR 4 million or more). **International funds and financial institutions:** permitted to invest in and hold units of licensed real estate funds and REITs acquiring income-producing hotel, hospitality and retail assets in Makkah.

Permitted assets: hotel towers, central retail complexes, residential and serviced apartments under usufruct, buildings and towers fitted for pilgrim-housing permits, and office headquarters. **Expected return:** net yields of up to 8.5% – 10.5% (seasonal operations in Ramadan and Hajj), and balanced capital and rental returns of up to 7.5% – 8.5%.

White land fees and the dynamics of urban supply release in Makkah



The three phases of white land fees

Releasing hoarded land within the urban boundary

Phase one

Undeveloped raw land of 10,000 sqm or more within the declared boundary.

Phase two

Developed land held by a single owner of 10,000 sqm or more, or a single owner's combined holdings of 10,000 sqm or more within one approved plan.

Phase three

Developed land held by a single owner of 5,000 sqm or more within one city, to spur direct development inside completed districts.

28M sqm

White land invoiced within Makkah's urban boundary

12M sqm

Land that entered approved development or trading and paid the fee

Developer opportunity: landowners under fee pressure on the corridors linking the Holy Mosque, the Holy Sites and the suburbs are more open to joint-venture development — lowering land cost and opening new plans.



Financial and urban impact

From hoarding to development

Owners obliged to pay the annual fee

Which can reach 10% under the regulations depending on urban priority, or to develop within the grace period — accelerating the release of vast hoarded tracts on the corridors linking the Holy Mosque, the Holy Sites and the suburbs.

100% of fees recycled

Fees collected in Makkah fund housing infrastructure and support the National Housing Company's (NHC) major suburban schemes such as Makkah Gate and development housing projects.

Regulatory delivery data

Invoices issued for more than 28 million sqm of white land within Makkah's urban boundary across programme phases and cycles, with more than 12 million sqm entering approved development or trading and paying the fee — breaking hoarding and funding infrastructure.

Takamol reading: the ratio of land developed to land invoiced (12 of 28 million sqm) means around 16 million sqm remains under fee pressure — the natural reservoir for development partnerships and major land deals in Makkah through 2026–2028.

Map of comprehensive regulatory transformation: four phases that redefined the market

01

Regulation and governance

Launch of the Real Estate Brokerage Law, the FAL licence and implementing regulations protecting transactions, and establishment of REGA as a unified regulator, coordinating with the Royal Commission for Makkah City and Holy Sites.

02

Digitisation and documentation

The Ejari platform and the unified Real Estate Registry (RER) register titles electronically with a unique property number for every unit in Makkah — ending overlapping titles and historic istihkam deeds on mountainous terrain.

03

Financial openness and liquidity

Updated REIT regulations, the new Real Estate Contributions Law, PropTech crowdfunding from SAR 1,000, and the off-plan sales system (Wafi) with escrow accounts.

04

Internationalisation and investment

Long-term usufruct of up to 99 years for non-Saudis in Makkah's giga-projects, Premium Residency for property owners (SAR 4 million) and ownership linked to direct investment incentives.

According to Knight Frank, Saudi real estate is no longer an unregulated market governed by individual discretion; it has become an institutional environment governed by legislation issued by REGA. This shift from informality to digital governance lifted the Kingdom's JLL Real Estate Transparency Index score, creating a secure environment for foreign and domestic institutional investors — and in Makkah specifically it opened the door for international capital to take part in projects around the Holy Mosque through usufruct rights and funds.

The new Real Estate Contributions Law and capital protection mechanisms

RC

Real Estate Contributions Law

Dual oversight and institutional regulation

Dual oversight

Real estate contributions fall under joint direct supervision by REGA and the Capital Market Authority (CMA), with developers required to be classified as accredited institutional entities — ending Makkah's historic unregulated contribution schemes.

PropTech crowdfunding channels

Licensed digital platforms allow individuals and institutions to subscribe from accessible amounts (starting at SAR 1,000), opening new liquidity channels for residential land development and suburban hospitality projects.

Governance flow

Technical feasibility study → REGA and CMA approval → escrow account opened → independent engineering and accounting oversight → payments released against progress → liquidation and profit distribution.

Escrow system: developers must open a restricted bank account released only against certified site progress reports — closing the file on historic failed contributions and restoring investor confidence in Makkah.

FAL

Real Estate Brokerage Law and the Ejar network

The FAL licence and professional requirements

The FAL licence and professional requirements

Mandatory training pathways at the Saudi Real Estate Institute and a FAL licence to practise brokerage, property management, facilities management and property auctions.

Ban on unlicensed advertising

Unlicensed property advertising is prohibited and property platforms are linked directly to REGA via APIs, curbing fictitious listings around the Holy Mosque.

Commission governance

Brokerage commission capped at 2.5% of the sale value or first-year rent unless the parties agree otherwise in writing; lease commission applies to the first year only, and undisclosed extra charges are criminalised.

Legal and financial impact: the unified electronic lease is an enforceable instrument executable without lengthy litigation, cutting rental disputes before the Holy City's enforcement courts by more than 80%.

The Real Estate Registry (RER) system and conclusive title deeds

How the system works — from survey to conclusive title

1

The technical concept of title registration

A unique property number for every plot or unit in Makkah, tied to centimetre-accurate 3D geodetic coordinates, preventing overlapping ownership and the spatial duplication of historic deeds on mountainous terrain.

**2**

Absolute, unchallengeable title

The registry deed carries conclusive legal proof that cannot be challenged by vexatious claims once objection periods lapse — finally ending Makkah's overlapping plans and historic istihkam deeds, and strengthening fund and investor confidence.

**3**

Linkage with mortgages and bank finance

Banks and finance companies register and release mortgages electronically and instantly via the registry platform, cutting credit risk and speeding bank lending to Makkah's towers and giga-projects.

90%

Maximum loan-to-value (LTV) for citizens' first home

<1.4%

Non-performing loan (NPL) ratio in real estate — at historic lows

Credit environment, mortgage finance and REITs

SAMA policy: LTV capped at 90% for the first home, developer-finance standards set on solvency and project cash flows, and NPLs monitored at historic lows below 1.4%.

REITs: REITs have acquired major hotel towers and property assets in the Central Area and around the Holy Mosque worth billions of riyals, and sale-and-leaseback strategies have become a key liquidity channel for hotel operators.

The Etmam programme and the Royal Commission (RCMC): the Etmam developer services centre, with Holy Makkah Municipality and the Royal Commission for Makkah City and Holy Sites, fast-tracks approval of plans and giga-projects and eases licensing so finance flows in record time.

Financial impact matrix: white land fees, RETT and the first-home exemption

	White land fees	Real Estate Transaction Tax (RETT)	First-home exemption
Rate / mechanism	2.5% → 10% a year on land value — can reach 10% under the regulations by urban priority	5% flat on the value of the property disposal	1,000,000 SAR — exemption ceiling from the tax for the first home
Direct objective	Combat hoarding and push owners to develop on the Holy Mosque, Holy Sites and suburban corridors	Replaces VAT (15%) on real estate	Supports citizen home ownership
Impact on market activity	Invoices for 28 million sqm and 12 million sqm entering development or trading in Makkah	Eases the liquidity burden and smooths trading of hotel assets and usufruct titles between funds and investors	Stimulates sales of family ownership apartments in the SAR 450 – 750k bracket in Al-Awali, Al-Shawqiyah and Makkah Gate

White land fees in Makkah are among the strongest drivers of supply release: they have cut land hoarding on the corridors linking the Holy Mosque, the Holy Sites and the suburbs and pushed major owners either to sell to developers or to enter development partnerships, while the fees collected fund infrastructure for Makkah Gate and development housing. A stable 5% RETT with first-home exemptions has also kept transaction flows flexible.

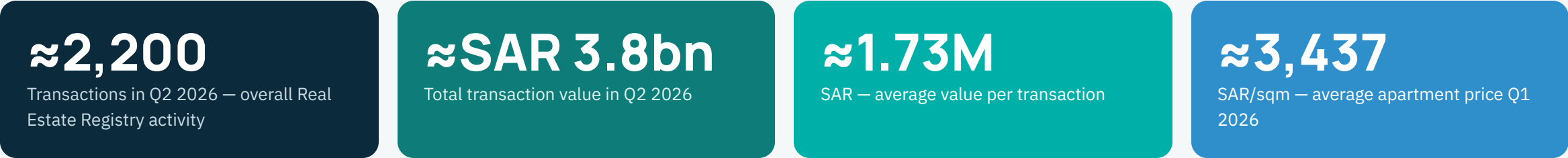
08

Real Estate Transaction Volumes

A reading of Real Estate Registry transactions for Makkah city in 2026:
residential activity · vacant land · commercial · industrial and
agricultural · comparison and conclusion



Residential: around 2,200 transactions worth SAR 3.8bn in Q2 2026



Indicator	Value	Source	Period	Takamol reading
Total transactions	≈ 2,200 deals	RE Registry	Q2 2026	Balanced liquidity led by land and apartments
Total transaction value	≈ SAR 3.8bn	RE Registry	Q2 2026	Central locations carry the value
Average deal value	≈ SAR 1.73m	Derived	Q2 2026	Double the regional-city average
Average apartment price	≈ SAR 3,437/sqm	RE Registry	Q1 2026	Consistent with the 3,400–4,800 range
Apartment deal sample	709 deals	RE Registry	Q1 2026	Sufficient for mainstream districts
Most active asset type	Residential land	RE Registry	Q2 2026	Land drives activity outside the core

Reading the activity

Makkah saw notable real estate activity over the last six months, driven by housing demand and investment flows tied to the city's religious standing and continuing development, hospitality and service projects. Ministry of Justice and Registry data show residential land as a leading component of trading.

What this means

Locations near the Central Area and the development corridors lift values, while districts such as Al-Shamiya Al-Jadidah, Batha Quraysh, Al-Safwah, Al-Falaq Al-Jadid and Al-Umrah show clear activity — the market is spreading beyond the Central Area.

Vacant land: 2,942 transactions worth SAR 2.22bn per the Real Estate Registry

2,942

Vacant land transactions recorded in the Real Estate Registry

SAR
2.22bn

Total value of land transactions

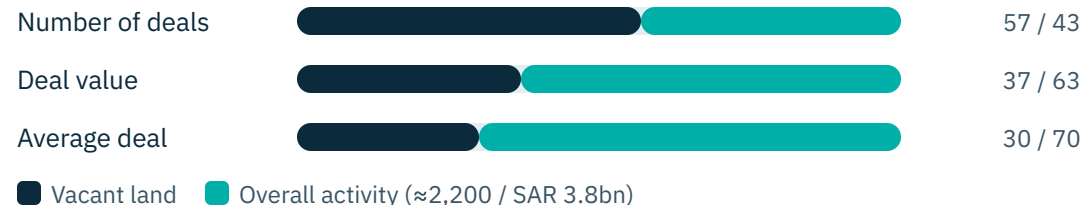
SAR
753k

Average value per land deal · 593 sqm average plot

≈1,270

SAR/sqm — average price · 1,100–2,200 in the Wali Al-Ahd schemes

Land versus overall Registry activity (Q2 2026) — relative comparison



What this means

Land is one of the leading drivers of real estate trading in Makkah, with activity concentrated in districts and schemes outside the very dense Central Area. Market data show a wide spread in land prices across Makkah's schemes: some Wali Al-Ahd schemes trade at around SAR 1,100–2,200/sqm, while prices rise sharply closer to the central areas. The average plot (593 sqm) points to residential plots for self-build and small apartment buildings.

Commercial: from the Real Estate Registry

256M

SAR — highest recorded deal ·
Al-Diyafah district

≈1.73M

SAR — average deal value,
overall activity Q2 2026

≈10,800

SAR/sqm/year — retail rent
near the Holy Mosque

900

SAR/sqm/year — top Grade A
office rent (Al-Aziziyah)

98–99%

Occupancy in prime shopping
centres

Grade A office rent by corridor (SAR/sqm/year) — 2026

Al-Aziziyah		900
Al-Awali		650
Al-Naseem		650
Al-Shawqiyah		550
King Fahd Rd		525
Al-Sharai		475

Commercial value in Makkah depends on location, footfall, proximity to the Hajj and Umrah corridors and sustainable retail or hotel income; the top deal (SAR 256m in Al-Diyafah) reflects major assets: hotel and retail land and buildings on the access corridors to the Holy Mosque.

What this means

Commercial activity in Makkah is fewer in number but higher in value; major deals concentrate in hotel and retail assets in the Central Area and access corridors (Al-Diyafah, Al-Aziziyah, Masjid al-Haram Road), while residential corridors (Al-Shawqiyah, Al-Naseem, Al-Sharai) offer community retail at a lower entry ticket and stable year-round returns.

Industrial and agricultural: limited activity governed by infrastructure and roads

Limited

Relatively limited industrial trading · medium to large plots

Volatile

Limited, volatile agricultural deals · large to very large plots

Fringes

Agricultural land on the city fringes, wadis and fringe areas

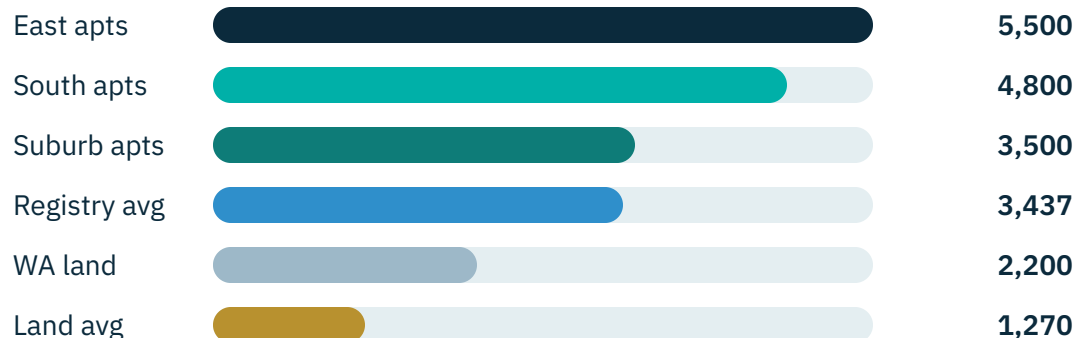
Logistics

Warehouses, light industry and logistics for the Holy Mosque and hotels

Location

Value tied to location, infrastructure, roads and potential

Indicative price map by zone (SAR/sqm) — WA = Wali Al-Ahd schemes



Agricultural land deals in Makkah are few but large, lifting the average asset size; activity concentrates on the fringes, wadis and transitional areas, with value shaped by development potential and proximity to housing schemes and main roads.

Transactions conclusion

A multi-layered market: active residential land outside the core (2,942 deals), apartments averaging SAR 3,437/sqm for residents, and commercial deals of up to SAR 256m around the Holy Mosque, with limited industrial and agricultural activity whose value hinges on location and infrastructure — opportunities in affordable suburban housing, central hotel and retail assets, and Hajj and Umrah logistics.

09

Takamol View: Opportunity Summary and How We Help

Ten ranked investment opportunities · Investor matrix by capital and horizon · Takamol Advanced and its services · Real Forsa and Real Invest · Sources and methodology

Ten investment opportunities in Makkah 2026 – ranked by strength of proposition

1

Usufruct-based serviced hotel apartments at Masar and around the Holy Mosque

IRR 17%–19.5% · payback 5.2–6.5 years · ADR SAR 850–1,650

Hospitality

2

Upper-midscale 4-star hotels on the Masar corridor and at shuttle stations

The widest gap in the market · ADR 450–850 · IRR 15.5%–17.8%

Hospitality

3

Dual-purpose ownership apartments with pilgrim-housing permits in Al-Aziziyah and Al-Shawqiyah

8.5%–10.5% seasonal yield · +25–35% on unit return

Residential

4

140–180 sqm family apartments in Al-Awali and Al-Naseem at SAR 450–750k

68% of stock is apartments · rents +6.2% · yield 6.4%–7.4%

Residential

5

Open-air retail and F&B destinations on the western corridor and Fourth Ring Road

Rent SAR 3,000–6,000+/sqm · +132k sqm GLA by 2028

Retail

6

Community service centres in Al-Awali, Al-Shawqiyah, Al-Naseem and Al-Sharai

Rent ≈SAR 2,100/sqm · long leases · non-seasonal income

Retail

7

Modern flexible offices on Masjid al-Haram Road and in Al-Aziziyah

Rent SAR 500–900/sqm · window before Masar supply 2027–2028

Offices

8

Central kitchens, catering warehouses and hotel support services

392k rooms · 30 million pilgrim target · operator contracts

Logistics

9

220–280 sqm townhouses and duplexes in Makkah Gate using MMC

34k units coming · ready NHC land · need of 15–20k a year

Residential

10

JV partnerships with landowners under white land fee pressure

28 million sqm invoiced · 12 million sqm in development · lower land cost

Land

Investor matrix: which opportunity suits whom?

Individual investor

Capital SAR 0.5 – 3 million

Horizon: 5–8 years · Goal: recurring income + seasonal letting

3-bedroom family apartment in Al-Awali or Al-Naseem (SAR 450–750k)

Dual-purpose apartment with pilgrim permit in Al-Shawqiyah

Off-plan (Wafi) unit in Makkah Gate or Makkah Oasis

Target yield: 6.4% – 10.5%

Mid-size investor / family office

Capital SAR 3 – 30 million

Horizon: 5–10 years · Goal: an income asset that can be exited

Build-to-rent block for hospitality and service staff

Community centre in a dense district (Al-Shawqiyah / Al-Sharai)

Central kitchen or catering warehouse leased to a hotel operator

Target yield: 7.5% – 9.0%

Real estate developer

Projects SAR 30 – 300 million

Horizon: 2–4 year development cycle · Goal: margin + exit

220–280 sqm MMC townhouses in Makkah Gate

4-star hotel on the Masar corridor with up to 50% TDF funding

JV with a landowner on the Holy Mosque and Holy Sites corridors

Target IRR 15%–18% · payback 6.5–7.8 years

Institutional investor / funds

SAR 300 million+

Horizon: 7–15 years · Goal: core assets on long leases and usufruct

99-year usufruct serviced apartment towers at Masar or Thakher

Sale and leaseback of hotel assets in the Central Area

Retail and office portfolio at Masar via a REIT

Target yield: 7.5% – 8.5% · IRR 14%–16.5%

Takamol Advanced: your advisory partner in real estate decisions

Takamol Advanced Company (TAC) is a Saudi–Emirati partnership specialised in real estate and investment advisory, combining local market expertise with digital analytics to deliver investment decisions built on data rather than impression. We serve developers, private investors, family offices and funds across the Kingdom and the GCC.

Market research and reports

Periodic reports at city, zone and district level, opportunity maps and KPIs for every sector — such as this report.

Feasibility studies and valuation

Financial modelling, highest-and-best-use analysis, asset valuation, and deal and partnership structuring.

Investment advisory

Portfolio construction, opportunity selection and due diligence for local, GCC and international investors.

Development advisory

Optimal product, use mix, pricing, and launch and marketing strategy for developers.

Foreign investor services

Guidance on usufruct rights and Premium Residency in Makkah, from eligibility checks to closing.

An integrated digital ecosystem

Real Forsa to discover opportunities and Real Invest to analyse them — our own tools that turn this report into a decision.

Why Takamol? Analysis at corridor and district level, not just the city · figures tied to operable feasibility models · a team

Combining Saudi and Emirati expertise · full transparency on sources and methodology.



From report to decision: Real Forsa & Real Invest

Two Takamol Advanced platforms that complete this report — one presents the opportunities, the other analyses them.



Real Forsa

Proptech opportunities marketplace · realforsa.sa

The proptech marketplace for real estate opportunities within the Takamol ecosystem: it curates selected opportunities across the Kingdom — development land, income-producing assets, development partnerships and off-plan products — and presents them to Saudi, GCC and international investors with unified, transparent data.

- The Makkah opportunities in this report (serviced apartments, Masar hotels, dual-purpose apartments, neighbourhood centres, logistics...) are listed as browsable, trackable opportunities.
- Filter by city, sector, capital and target return.
- Direct contact with the Takamol team for due diligence and deal structuring.

realforsa.sa



Real Invest

Investment analysis and advisory tool

Takamol's automated analysis and feasibility tool: enter the land or asset data (location, area, use, cost) and receive an instant preliminary feasibility study — cash flows, IRR, payback period and sensitivity analysis — built on the same market indicators presented in this report.

IRR

Internal rate of return

NPV

Net present value

Payback

Payback period

[Calculate the feasibility of your Makkah project with Real Invest](#)

Sources, methodology and disclaimer

Official sources

Real Estate Registry and Ministry of Justice — transaction data (2026)

GASTAT — population, income, inflation

Real Estate General Authority (REGA) — laws and regulations

Saudi Central Bank (SAMA) — mortgage finance

ZATCA — RETT and land fees

Holy Makkah Municipality and the Royal Commission for Makkah City and Holy Sites (RCMC)

Ministry of Hajj and Umrah and the Nusuk platform — pilgrim numbers

Ministry of Tourism and the Tourism Development Fund · GACA

Market & benchmark sources

Announcements by Umm Al-Qura Development (Masar) and NHC (Makkah Gate)

Developers of Jabal Omar, Al-Huda Park and Thakher Makkah

JLL reports — sector yields and the Transparency Index

Knight Frank reports — Premium Residency and governance

CBRE reports — religious hospitality and non-Saudi ownership

Takamol field surveys of rents and occupancy 2026

Official open geographic district data (maps)

Takamol reports for Riyadh, Jeddah and Al-Qassim 2026 (for comparison)

Methodological notes

Values in SAR · annual rates compared with the same period of 2025 · figures preceded by "around" or "circa" are estimates · shares, monthly curves, return models and retail corridor rent ranges are illustrative, built on the report's averages · office NLA at Masar is unconfirmed in published sources · project locations on maps are approximate.

Disclaimer

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This report is part of Takamol Advanced's series on the Saudi real estate market — Riyadh · Jeddah · Al-Qassim · Eastern Province · Makkah · Madinah · Dammam. For a detailed edition on a specific sector or corridor, or a feasibility study for your project in Makkah, get in touch.

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